



بوندز للاستشارات المالية والإدارية

INVEST. ANALYZE. DECIDE. GROW.

Business Plan

Real Estate Asset Revitalization Company

Closed Joint Stock Company

Kingdom of Saudi Arabia

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Executive Summary

The Real Estate Asset Revitalization Company is a unique investment model aimed at revitalizing incomplete real estate assets in Saudi Arabia through partnership agreements with property owners, without purchasing land or relying on external financing.

The company operates as a closed joint stock company, fully funded by founding shareholders, and adheres to the highest standards of the Saudi Building Code and finishing works, with comprehensive insurance coverage.

Key Financial Indicators

Indicator	Value
Authorized Capital	SAR 200 million
Total Target Investment	SAR 226 million
Initial Investment	SAR 25 million
Expected IRR	19% - 20%
Capital Return at Exit	2.5x - 4x
Payback Period	5.5 years

Market Opportunity

- Saudi Arabia is witnessing unprecedented real estate growth driven by Vision 2030.
- Thousands of incomplete assets are available due to lack of liquidity or execution expertise.
- Demand for ready-built units exceeds supply in major cities.
- High rental yields in Riyadh (8.89%) and Jeddah (7.89%).

Business Model

- Partnership (Muhassah) with asset owners.
- Company bears finishing, marketing, and selling costs.
- Owner retains property ownership.
- Profits shared per signed contract.

1. Company Overview

1.1 Vision

To be the preferred strategic partner for owners of incomplete real estate assets in Saudi Arabia.

1.2 Mission

Revitalize incomplete real estate assets with high standards of quality and compliance.

1.3 Core Values

- Respect, Quality, Transparency, Sustainability, Innovation.

1.4 Legal Structure

A closed joint stock company licensed by the Ministry of Commerce and the Real Estate General Authority (REGA).

1.5 Capital Structure

Item	Value
Authorized Capital	SAR 200,000,000
Shares	40,000
Nominal Value per Share	SAR 5,000
Actual Value per Share	SAR 5,650
Total Target Investment	SAR 226,000,000

2. Market Analysis

The Saudi real estate sector is undergoing radical transformation driven by Vision 2030.

2.1 Key Indicators

Indicator	Value
Rental Yield in Riyadh	8.89%
Rental Yield in Jeddah	7.89%
Transaction Growth	+14.2%
Real Estate Financing	SAR 730 billion
Price/Demand Gap	6%

2.2 Target Areas

Riyadh: Premium North, Northeast.

Jeddah: North Coast, Vibrant Center.

3. Services and Solutions

- Comprehensive engineering and legal assessment.
- Architectural and structural design preparation.
- Finishing management and daily supervision.
- Professional marketing and sales.
- Delivery and ownership transfer.

3.2 Partnership Models

Model	Description
Model	Description
Full Muhassah	Company handles finishing and marketing for profit share
Partial Purchase	Company buys part of units after finishing
Management Fee	Fixed fee for finishing and marketing
Hybrid Model	Mix of Muhassah, purchase, and management fees

4. Business Model

- Identify incomplete real estate assets.
- Conduct engineering, legal, and financial assessment.
- Contract with the owner.
- Finish according to Saudi Building Code.
- Market and sell.
- Distribute profits.

4.2 Revenue Sources

Source	Share
Source	Share
Muhassah	60%
Resale	25%
Management Fees	10%
Consulting	5%

5. Marketing and Sales Strategy

Channel	Budget
Channel	Monthly Budget
Google Ads	SAR 10,000
Snapchat Ads	SAR 8,000
Instagram / TikTok	SAR 5,000
SEO	SAR 3,000
LinkedIn	SAR 2,000

6. Operational Plan

Phase	Duration
Phase	Duration
Assessment	4 weeks
Contracting	2-4 weeks
Design	4-8 weeks
Finishing	16-24 weeks
Marketing & Sales	12-24 weeks
Delivery	4-8 weeks

7. Financial Plan

Indicator	Value
Indicator	Value
IRR	19% - 20%
Exit Return	2.5x - 4x
Payback Period	5.5 years
Net Profit Year 5	SAR 9.8 million

8. Risk Analysis and Mitigation

Risk	Mitigation
Risk	Mitigation
Hidden structural defects	Engineering inspection + insurance + 10% reserve
Delayed sales	Competitive pricing + pre-sale contracts
Contractor delay	Bank guarantee + penalties
Legal disputes	Clear contracts + binding arbitration

9. Implementation and Exit

- Years 1-2: Proof of Concept (3-5 projects).
- Years 3-5: Growth and Replication (6-10 projects annually).
- Years 5-7: Strategic Exit.
- Exit options: Sale of controlling stake, partial IPO, buyback.

10. Conclusion and Recommendations

The company presents a unique investment opportunity in the Saudi real estate market. The model relies on Muhassah partnerships with owners of incomplete assets, eliminating the need to purchase land and reducing required capital.

With self-funding, compliance with the Saudi Building Code, and comprehensive insurance coverage, the company enjoys calculated risks and attractive returns.